

In all columns, when a throwback or pullback occurs, performance suffers. In bear markets, it's especially violent. Price drops 33% if no pullback appears but averages a drop of 21% if the stock pulls back. The reason for this, I think, is that momentum suffers when a pullback (in this case) or a throwback occurs.

After a pullback or throwback completes, price tends to *rise*. Keep that in mind when you see a throwback or pullback. In well-behaved chart patterns, after a pullback completes, you would see price resume dropping, but for rectangle bottoms, that happens less than half the time (48%, 46%) as the table shows.

Gaps. Rectangles have few breakout day gaps (191 out of 1,062 patterns). The results are mixed as to whether gaps help or hurt performance.

[Table 51.5](#) shows pattern size statistics.

Height. Tall rectangles perform better than short ones across all columns in the table. For example, tall rectangles in bull markets with upward breakouts see price rise 56% after the breakout. Rectangles shorter than the median show price rise an average of just 39%.

To use this finding, measure the height of the rectangle from top trendline to the bottom one. Divide by the breakout price (for upward breakouts, use the price of the top trendline. For downward breakouts, use the price of the bottom trendline). If the result is larger than the median shown in the table, then you have a tall pattern.

Width. Usually, wide patterns perform better than narrow ones, and that's true in two of three columns. The exception is in bear markets, and the numbers are close. Perhaps additional samples would push them into alignment.